

DIAGEO

Smart Shelf: Phase 1 MVP

Product Brief

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bounteous



Business Context

- To maintain category leadership and drive unit sales, Diageo must ensure its products are highly visible, easily found, and promoted with accurate and compelling content across online marketplaces including Kroger, Walmart, Instacart, and others.
- While ecommerce represents a small percentage of overall category and unit sales today, volume will continue to grow both in North America and global markets. In addition, online retail also represents an important channel to drive product awareness and consideration in both online marketplaces and web-based search engines like Google and Bing. Awareness and consideration that in turn drives offline sales.
- The challenge today in creating the quality product descriptions to maximize discoverability, search accuracy, and sales conversion is three-fold:
 - 1) Product descriptions require an infusion of keywords and phrases that are optimized to improve both product rankings within search listings, and pique consumer interest to drive purchases. Few marketers and copywriters have the expertise required to address both requirements.
 - 2) Creation of effective product descriptions is labor intensive and prone to human error, diverting valuable time away from Diageo marketers that could be better spent on more strategic activities, or require costly support from external agencies.
 - 3) Descriptions that fail to meet retailer and legal requirements result in Diageo being assessed with fees for non-compliance and added costs to correct the issues.
- As online sales potential continues to grow, new products and line extensions are introduced, and Diageo expands distribution with retail partners like Costco and BJ's Wholesale Club, a more data-driven and cost-effective solution is needed to generate and continuously optimize product descriptions.

Smart Shelf Proof of Concept (POC)

- In Q4 FY2024, Diageo partnered with Bounteous to create the Smart Shelf POC application to demonstrate how Generative AI ("GenAI") could be used to enrich Diageo product descriptions to address three key business objectives:
 - 1) **Improve digital shelf performance** through keyword and copy-enriched product descriptions that enable better discoverability, search accuracy, and consumer relevancy, to drive higher purchase conversion.
 - 2) **Reduce content production costs** through operational efficiencies achieved by leveraging GenAI to enable Diageo teams to spend less time writing descriptions, reduce external cost and dependency on agencies to create product descriptions, and minimize human error and associated costs to resolve data errors, inconsistencies, and non-compliance.
 - 3) **Improve risk avoidance and scalability** by delivering high quality content, generated at scale, to ensure that all product descriptions adhere to Diageo standards and regulatory requirements, thereby reducing the associated risks and costs of non-compliance.
- With these objectives in mind, and the constraints of a limited timeframe and budget, the POC included the following scope:
 - **Smart keyword identification** and insertion into product descriptions and bullets for three product categories.
 - **Supplemental marketer instructions** to enable users to include additional prompt instructions for seasonality, known trends, or other information.
 - **Engineered prompts** to meet product description requirements for Walmart, Kroger, and Amazon.
 - **Product description enrichment** to incorporate optimal keywords and marketer instruction and ensure compliance with retailer requirements.
- Having conducted a small-scale test using Smart Shelf-enriched product descriptions for items sold online, sales results were inconclusive to justify investment to build a production-ready version of Smart Shelf. However, gains in search rankings warrant further development and testing.

Smart Shelf MVP: Objectives and Metrics

- 1) Test the efficacy of GenAI (i.e., Smart Shelf) enriched product descriptions to drive improved search rank and sales performance in a limited number of online marketplaces and retailer websites in North America. Specific marketplaces and retailers are to be determined.

Metrics include:

- Improvement to search results rankings
- Increase in traffic to Diageo product detail pages
- Increase in unit sales volume
- Increase in sales revenue

- 2) Provide Marketers with an easy-to-use application that enables them to efficiently and cost-effectively create retailer-optimized descriptions while reducing the burden of having to manually confirm retailer, brand, and legal requirements.

Metrics include:

- Reduction in time and cost to create retailer-optimized product descriptions
- Reduction in the number of incidences of retailer non-compliance and associated fees
- Reduction in rework time and associated costs to modify non-compliant descriptions

Smart Shelf MVP: High-Level Requirements

- 1) **User Experience:** Smart Shelf will be built as a stand-alone application running in Diageo's Azure environment. The experience will feature an -easy-to-use, task-based interface that eliminates the need for users to understand prompt engineering or other AI concepts.
- 2) **Product Data:** Smart Shelf will be integrated with Stibo via APIs to enable source product descriptions to be pulled into Smart Shelf and enriched product descriptions pushed back into Stibo. As such, Stibo will continue to function as the “source of truth” for product content. Workflow approval process will continue to operate within Stibo.
- 3) **Product Description Enrichment:** Use of GenAI to suggest modified product descriptions that incorporate optimal keywords and marketer instruction. Enriched descriptions will be generated in compliance with retailer requirements. For the purposes of the MVP, compliance with Diageo brand and legal standards is out of scope.
- 4) **Supplemental Marketer Instructions:** Users will have the option to incorporate additional instructions for various use cases, such as seasonal, holiday, or trend-based edits to capture additional demand.
- 5) **Individual and Bulk SKU Workflows:** Smart Shelf will be designed to enable users to update descriptions for individual products one at a time or updated descriptions for multiple products at a time (e.g., bulk edits process).
- 6) **Smart Shelf LLM:** Smart Shelf will be built in Diageo's Azure secure data environment using Diageo's Azure OpenAI Sandbox.
- 7) **Smart Shelf-In-Market Test:** In-market testing of Smart Shelf enriched product descriptions will be performed for a statistically relevant number of SKUs and a sufficiently long testing duration to provide conclusive results and insights. Testing will be performed on limited number of retailer sites.

Smart Shelf MVP: Initial Assumptions & Dependencies

- MVP scope and objectives may need to be adjusted to fit within the budget approved for this initiative. Any requirements or use cases removed from scope, or additional requirements identified during the design phase, will be prioritized on the Smart Shelf product roadmap for future consideration.
- Keyword generation in the MVP is limited to altering approved product keywords for existing products.
- Stibo will provide access to the relevant APIs necessary for retrieving and updating products.
- Outside of the Stibo integration, the entire Smart Shelf application will be contained within Diageo's Azure instance.
- All data required for the MVP (e.g., product data, retailer requirements) will be made available in Diageo's Azure environment.
- Diageo will assist in procuring a license key for Keyword Planner or some other keyword volume tool that retrieves keyword search volume and competitive data by region.